

Date : September 6, 2023
To : **BRDC (Managers, Supervisors and Admins Rank and File)**
CC : President and Vice President
Pages : 3
Subject: **Leave Incentive**

Effective September 1, 2023, the following guidelines regarding leave credits shall be observed:

OBJECTIVE:

In line with the Company's continuing efforts to further improve and address the general welfare of its' Employees. Vacation and Sick leave will be provided to allow time for rest and do personal matters and to give them time to recuperate in times of illness.

With this the Company is assured that Employees maintain the high standards of their mental, emotional and physical conditioning to ensure optimum performance of their functions.

DEFINITION OF TERMS:

1. Regular Employee – refers to an employee who passed the probationary period of employment.
2. Probationary Employee – is an employee who for a given period of time is under observation by the employer, during which the latter determines whether or not he / she is qualified for permanent / regular employment.
3. Vacation Leave – means a leave of absence with pay for the purpose of rest, relaxation or personal business at the request of the employee and with the concurrence of the employer.
4. Sick Leave – means a time employee stays away from work because of illness and needs time to recuperate.
5. Emergency Leave – means an employee needs to take time off because of unexpected or sudden situations at home, illness of the employee itself or any immediate family member or death of immediate family member.
6. Shared Services – is the consolidation of business operations that are used by multiple parts of the same organization. It is a centralized back office operations that are used by multiple divisions of the same Company.
7. Service Incentive Leave – are leave credits extended to covered employees who has rendered 1 year (12 months continuous service). The leave credits maybe used for whatever reason. The Employer is required to pay the cash equivalent of the unused leave credits. The service incentive leave credits replenish yearly. (based on DOLE guidelines on SIL).
8. Non-convertible sick leave – A Company initiated sick leave that is NOT convertible to cash.

IMPLEMENTING GUIDELINES:

A. ENTITLEMENT

1. Employee who pass the probationary period of employment (upon regularization) shall be entitled to 5 days non-convertible Sick Leave.
 - Upon completion of one (1) year continuous full time service said Employee shall be entitled to additional 5 days' Vacation Leave and conversion of 5 days non-convertible Sick Leave to Regular Sick Leave.
2. Employees shall earn additional 1 day vacation leave and 1 day sick leave credits every year after the completion of one (1) year of complete service (based on hiring date).

Sample Illustration:

Supervisor - date hired February 1, 2023

- i. August 1, 2023 – regularization entitled to 5 days non-convertible Sick Leave.

- ii. February 1, 2024 – entitled to 5 days VL and conversion of leave
- iii. February 1, 2025 – entitled to 6 days VL and 6 days SL
- iv. February 1, 2026 – entitled to 7 days VL and 7 days SL

VACATION LEAVE

1. Vacation leave (VL) should be filed and approved by the immediate head before the actual availment of the leave.
2. Employees' approved leave of absence will automatically be deducted from the existing leave credits. If the employee has no leave credits absence will be automatically deducted from his / her salary.
3. VL without pay shall not be granted if the employee has available leave credits.
4. VL without notice could be declined at the discretion of the immediate superior and will be charged to employee salary.
5. In case of service exigency, approved VL may be disapproved.
6. In extreme cases, the Company has the right to recall an employee who is on VL. VL that was not used will be returned to the credit of the employee.
7. Disapproved VL, if pursued by the employee will be considered AWOL and will be dealt with accordingly.
8. Vacation leave must be used in no less than 4 hours or half day increments.
9. Vacation leave should be used in 1 year and is not convertible to cash.
10. In case of Emergency such will be credited to available leave credits.
11. For scheduled vacation leave, request should be filed not less than two weeks before the intended date of use. This is to ensure that work will not be interrupted and that the usual flow of business will continue.
12. The Management reserve the right to disapprove (abrupt / immediate) leave filed that will fall on a Saturday, Monday and those filed before or after a declared special or non-working holiday.

SICK LEAVE

1. Sick leave privileges are to be extended to injured / sick employees upon Certification of a licensed physician that said employee is incapable of discharging his/her functions due to the injury / sickness.
2. The Employee or through his / her representative has to inform its' immediate superior or the HR Dept. on his / her absence due to sickness immediately when the employee cannot report for work due to illness – sickness.
3. The employee has to file the incurred SL immediately upon returning to work. Failure to do so means none charging to SL Credits and it will be deducted to his / her salary.
4. Absences for 2 or more consecutive days due to sickness will require the employee to submit a valid medical certificate indicating the illness, number of days need to recuperate. Medical Certificate with remarks of FIT TO WORK will be required for serious illness (involving confinement).
5. Any unauthorized SL will subject the employee to disciplinary action. SL is unauthorized under the following circumstances:
 - a. The employee failed to inform his / her immediate superior or HRD for more than 1 days about his / her absence due to illness unless fully justified.
 - b. If sickness claim is fictitious or non-existent.
6. The employee or his / her representative must inform his / her immediate superior or HRD if extension will be needed to recover from the sickness.
7. VL credits can be used by the employee if all SL credits has been utilized and the employee is still unfit to work and needs more time to recuperate.
8. SL with pay shall not be granted when employee is on maternity leave.
9. No SL shall be credited to an employee while he / she is serving suspension or when he / she is on leave without pay.
10. An employee upon returning for work after an illness / sickness should submit the SL application form together with the medical certificate, and if confined including hospital records to HRD upon resumption to work.

COMMUTATION TO CASH

- Unused Sick Leave shall be convertible to cash (maximum of 5 days) basis of release is hiring date.
- Vacation Leave shall be used yearly and is not convertible to cash.
- Upon termination of employment, only earned unused **SICK LEAVE CREDITS** for the current year is converted to cash (prorated computation).

NOTE:

The Company reserves the right to revisit and amend the policy if and when the need arise.

For your guidance.

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